VALUE ADDED TAX

Value Added Tax (VAT) is an indirect tax like excise duty, first levied on goods and services. It is a consumption tax. VAT was introduced into the Nigerian tax system through Act (the Decree) No. 102 of 1993, with effective date of 1 January 1994. The Act repealed the Sales Tax Act, 1986. VAT is now being administered by the Value Added Tax Act, Cap. V1, LFN 2004. It was last amended in 2021. The rate of tax is 7.5% on the value of all taxable goods and services. VAT is charged and payable on the supply of all goods and services, other than the exempt items listed in the First Schedule to the Act.

The three basic characteristics of VAT are:

(a) It is a consumption tax;

(b) It is a multi-stage tax; and

(c) The incidence of VAT is on the final consumers.

The VAT collected by FIRS is shared as follows:

(a) 15 per cent to the Federal Government;

(b) 50 per cent to the State Governments and the Federal Capital territory, Abuja; and

(c) 35 per cent to the Local Governments.

ADMINISTRATION OF VAT

Section 7 of the Act specifically states that the VAT shall be administered and managed by the Federal Inland Revenue Service Board (formerly FBIR). The Board may do such things as it may deem necessary and expedient for the assessment and collection of the tax and shall account for all amounts so collected in accordance with the provisions of the Act

EXEMPT ITEMS

Goods Exempt

(a) All medical and pharmaceutical products;

(b) Basic foods items

(c) Books and educational materials;

(d) Baby products;

(e) Plant, machinery and goods imported for use in the Export Processing Zone or Free Trade Zone;

(e) Plant, machinery and equipment purchased for utilization of gas in downstream petroleum operations;

(f) Tractors, ploughs and agricultural equipment and implements purchased for agricultural purposes; and

(g) All exports.

(h) Fertilizers locally produced, agricultural and veterinary medicine

SERVICES EXEMPT FROM VAT

(a) Medical services;

(b) Services rendered by Micro-Finance Banks and Mortgage institutions;

(c) Plays and performances conducted by educational institutions as part of learning; and

(d) All exported services

(e) Goods and services purchased for the use of diplomats and donor funded projects

RATE

The tax is computed at the rate of 7.5 per cent of the value of all vatable goods and services; and the value of vatable goods and services is determined as follows

a) If the supply is for money consideration, its value is deemed to be amount which, with the addition of the VAT chargeable, is equal to the consideration; and
b) If the supply is for consideration not consisting of money, the value of the supply shall be deemed to be its market value.

Note,
The Honorable Minister of Finance may, by order published in the Gazette amend the rate of tax chargeable and also amend, vary or modify the list of exempted goods and services. The rate of VAT was moved up to 10% in 2007 but this was later reversed.

IMPORTED GOODS
The value of imported taxable goods is deemed to be:

(a) The price of the goods so imported plus;
(b) All taxes, duties and other charges levied either outside or by reason of importation into Nigeria plus;
(c) All costs by way of commission, parking, transport and insurance up to the port or place of importation

RETURNS, REMITTANCES, RECOVERY AND REFUND OF TAX
A vatable person shall pay to the supplier, the tax on taxable goods and services purchased by or supplied to him. The VAT so paid by a Vatable person is known as Input VAT.

A Vatable person shall, on supplying Vatable goods or services to his accredited distributor, agent, client or consumer, as the case may be, collect the VAT on those goods or services at the above-mentioned rate. The VAT so collected by a Vatable person shall be known as an output VAT.

A Vatable person shall render to the Revenue Service, on or before the 30th day of the month following that in which the purchase or supply was made, a return of all Vatable goods and services purchased or supplied by him during the preceding month in such manner, as the Federal Inland Revenue Service (FIRS) may, from time to time determine. A person who imports Vatable goods into Nigeria shall render returns on all the Vatable goods imported by him into Nigeria.

A Vatable person shall, on rendering a return:
(a) If the output VAT exceeds the input VAT, remit the excess to the FIRS; or
(b) If the input VAT exceeds the output VAT, be entitled to a refund of the excess tax from the FIRS, on production of such documents, as may be required of him from time to time. An importer of Vatable goods shall, before clearing those goods, pay to the Revenue Service the VAT due on those goods.

The Nigerian Customs Services shall, before releasing Vatable goods to its importer, demand the Value Added Tax Compliance Certificate issued by the FIRS on those goods.

INPUT VAT

The input VAT to be allowed as a deduction from Output VAT is limited to the VAT on goods purchased or imported directly for resale and goods which form the stock-in-trade used for the direct production of any new product on which the output VAT is charged.

Consequently, Input VAT

(a) On any overhead, service, and general administration of any business which otherwise can be expended through the Statement of Comprehensive Income; and

(b) On any capital item and asset, which is to be capitalised along with cost of the capital item and asset are not allowed as a deduction from Output tax.

Every Ministry, statutory body or any other agency of Government shall, at the time of making payment to a contractor, remit the tax charged on the contract to the nearest Local VAT Office (LVO).

The remission shall be accompanied with a schedule, showing the name and address of the contractor, invoice number, gross amount of invoice, amount of tax and the month of return.

ADMINISTRATION OF VAT, COMMITTEE AND TRIBUNAL

The Federal Inland Revenue Service is responsible for the administering the Value Added Tax.

There is a Committee known as, the Value Added Tax Technical Committee comprising:

(a) The Chairman of the Federal Inland Revenue Service (as the Chairman);

(b) All Directors in the Federal Inland Revenue Service;

(c) The Legal Adviser to the Federal Inland Revenue Service;

(d) A Director in the Nigeria Customs Service; and

(e) Three representatives of the State Governments who are members of the Joint Tax Board.

Functions

(a) To consider all the tax matters that requires professional and technical expertise and make recommendations to the FIRS;

(b) To advise the FIRS, on its duties in administering the tax; and

(c) To attend to such other matters as the FIRS may from time to time refer to it.

VAT TRIBUNAL

(a) The Minister shall establish, by notice in the Federal Gazette, Zonal Value Added Tax (VAT) Tribunals, spread geographically throughout the country;

(b) Each of the Zonal VAT Tribunals shall, consist of not more than eight persons, none of whom shall be a serving public officer and one of whom shall be designated as Chairman by the Minister;

(c) The Chairman of each of the Zonal VAT Tribunals:

- Shall be a legal practitioner, of not more than 15 years, post call experience; and

- Shall preside over the proceedings of the Tribunal.

(d) Members of each of the Zonal VAT Tribunals shall:

- Be appointed by notice in the Federal Gazette by the Minister from among persons appearing to him to have wide and adequate practical experience, professional knowledge, skills and integrity in the profession of law, accountancy or taxation in Nigeria as well as, persons that have shown capacity in the management of trade/business and retired senior public servants in tax administration;
- Hold office for a period of three years from the date of appointment and may resign at any time, by a notice in writing, addressed to the Minister;
- Cease to be a member, upon the Minister determining that his office be vacated upon notice of such determination.

(e) Where the Minister is satisfied that a member:

- Has been absent for two consecutive meetings without the written permission of the Chairman of the Board; or
- Is incapacitated by illness; or
- Has failed to make any declaration and give notice of his direct or indirect financial interest in a case, when any appeal by such case is pending before the Tribunal; or
- Has been convicted of any felony, or of any offence, under any enactment imposing tax on income or profit;

  The Minister shall make a declaration that his office as a member is vacant.

(f) Where for some reason there is insufficient number of members to hear an appeal the Minister may make an ad-hoc appointment in writing for the purpose of hearing such appeal;

(g) The Minister shall designate a serving public officer to be Secretary to a Zonal VAT Tribunal and the official address of the Secretary shall be published in the Federal Gazette;

(h) The members of the VAT Tribunal shall remain in office until new ones are sworn in;

(i) Any taxable person who, being a person aggrieved by an assessment or demand notice made upon him, may appeal against the assessment and notice to the Zonal VAT Tribunal, where the taxable person is resident, giving notice in writing, through the Secretary to the Zonal VAT Tribunal, within fifteen days after the date of service upon such taxable person, of the assessment or demand notices and the appeal shall be heard by the Tribunal

(j) The Service, if aggrieved by the non-compliance of a taxable person to any provision of this Act, may appeal to the Zonal Tribunal where the taxable person is resident ,giving notice in writing through the Secretary to the Zonal VAT Tribunal

(k) Where a notice of appeal is not given within the period specified, the assessment or demand notices shall become final and conclusive and the Service may recover tax, interest and penalty which remain unpaid from any taxable person, through the proceedings at the Zonal Tribunal.

(l) A judgment of the Zonal VAT Tribunal shall be enforced as if it were a judgement of the Federal High Court.

(m) Notice of appeal against an assessment shall contain:

- The name and address of the taxable person;

- The total amount of goods and services chargeable to tax, in respect of each month;
- An input tax;
- Net amount of tax payable;
- The copy of assessment notice:
- The precise grounds of appeal against the assessment; and
- An address for service of any notice, process or other documents to be given to the appellant and the Secretary to the Zonal Tribunal

(n) The Revenue or a taxable person, may, discontinue an appeal at any time before the hearing of the appeal, by giving notice in writing, through the Secretary to the Zonal Tribunal;
(o) The Zonal Tribunal shall meet, as often as may be necessary, to hear appeal in any town and place in which the office of the Tribunal is situated;
(p) At least five members may hear and determine an appeal;
(q) The Secretary to the Zonal Tribunal shall give seven days' notice to the parties to an appeal, of the date and place fixed for the hearing of the appeal;
(r) All notice and documents, other than the decisions of the Tribunal may be signed under the hand of the Secretary. All appeals before the Tribunal shall be held in camera. Every taxable person, so appealing, shall be entitled to be represented at the hearing of the appeal, by a legal practitioner, a qualified chartered accountant, or tax consultant;
(s) The onus of proving the basis of grievance against an assessment or non-compliance with the provisions of the law shall be on the appellant (t) The Zonal Tribunal may, upon hearing the appeal, confirm, reduce, increase or amend the assessment or make such orders thereon as it deems fit;
(u) The Minister may make rules regulating the practice and procedure of the VAT Tribunal and until such rules are made, the practice and procedure of the Federal High Court, shall apply with any such modifications as circumstances may require;
(v) Any case on VAT issues which the VAT Tribunal has jurisdiction and pending before the Federal High Court, before the setting up of VAT Tribunal, shall be continued and completed by the Federal High Court;
(w) After the decision of the VAT Tribunal, notice of tax payable or determined by the Tribunal, shall be served by the FIRS to the company and notwithstanding that an appeal is pending, tax shall be paid in accordance with the decision of the VAT Tribunal, within one month of the notification of the tax payable to the company;
(x) Any party aggrieved by the decision of the VAT Tribunal, may appeal to the Court of Appeal against the decision of the Tribunal on a point of law, after giving notice in writing to the Secretary to the Tribunal within 30 days after the decision of the Tribunal. The appellant shall set out the grounds of his appeal.
The Secretary of the Tribunal on receipt of the notice of appeal to the court of appeal, shall compile the record of proceedings and judgment before the VAT Tribunal and forward same to the Chief Registrar of the Court of Appeal, together with all exhibits tendered at the hearing, before the VAT Tribunal, within 30 days, after the decision to appeal was made; and
(y) The President of the Court of Appeal may make rules for hearing appeals on VAT appeals. However, pending such rules, the rules of the Court of Appeal shall apply.